

**Committee on Subsidies
and Countervailing Measures**

Original: English

IMPLEMENTATION-RELATED ISSUES REFERRED TO THE COMMITTEE BY MINISTERS

Questions from the European Communities to Brazil¹ and India²

The following communication, dated 11 January 2002, was received from the Permanent Delegation of the European Communities.

As discussed during the informal meeting of the Committee on 16 December 2001, the European Communities submit the following questions concerning the certain issues contained in the submissions made by Brazil (G/SCM/W/464) and India (G/SCM/W/462). The European Communities recall that these questions are posed only for reasons of clarification and do not prejudice their position on the substance of the submissions.

Topic 1: Article 14 SCM Agreement

Additional Guidelines should be added to Article 14:

Expenses incurred by recipient to obtain the subsidy should be deducted from amount of the subsidy (Brazil and India) and from amount of countervailing duty (India).

Questions by the EC:

1. *Can Brazil and India please clarify whether all expenses incurred should be deducted or only expenses necessarily incurred in order to obtain the subsidy?*
2. *Could India please explain what can constitute "benefits...reduced after making necessary adjustment as required under the schemes."(para. 22 of G/SCM/W/462).*

For subsidies not granted based on quantities of product, subsidy amount should be the proportional amount of subsidy related to the quantity of product (Brazil)

Questions by the EC:

3. *Can Brazil please explain the terms "corresponding proportion" and "related" (para. 4 G/SCM/W/464), possibly using an example of subsidy calculation in such a case?*

¹ G/SCM/W/464.

² G/SCM/W/462.

Subsidies to acquire capital goods - subsidy amount calculated based on depreciation rules for that industry and amount of product involved.

Questions by the EC:

4. *Could Brazil please explain the term "rules for depreciation of the good in the industry"?*
5. *Would this exclude the use of depreciation periods actually applied by the exporting producer(s) concerned if they differ from such industry-wide rules?*

Topic 3: De minimis

Introduce in Article 19 a provision that no duty be collected where subsidy amount is *de minimis* (Brazil).

Question by the EC:

6. *Can Brazil quote any instances where countervailing duties have been collected on subsidies which are below de minimis?*
 7. *Does Brazil consider that the wording of Article 19.3 SCM Agreement "such countervailing duty shall be levied, in the appropriate amounts in each case" (emphasis added) implies, that countervailing duties must not be collected if the amount of subsidy is de minimis?*
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